

Using the new chart, let's show a couple of examples that affect income statement accounts.

First, we will need to add a few new accounts to our general ledger:

Table 8: New Accounts

Account #	Description	Type	Debit	Credit
4000	Sales Revenue	Revenue		
5000	Rent	Expense		
5100	Postage	Expense		
5200	Shipping Supplies	Expense		
5300	Office Supplies	Expense		

The above accounts represent the accounts that a small design shop might use to record their revenues and the costs associated with selling designs and marketing materials to clients.



Note: Our example above is a small set of expenses; most systems will have a much more detailed expense breakdown. Since taxes are paid on net profits, systems are designed to reduce net profits by accounting for all associated expenses.

Let's Review a Few Examples

- A. Bambi designs a new logo for a client who loves it and pays her \$250 cash for the logo file, which Bambi sends her via e-mail.
- B. Kim creates a mobile version of a website and charges the client \$595, which the client pays via a check.
- C. Kim purchases copier paper and blank DVDs for office use, which Kim pays via a check for \$75.
- D. Bambi prepares a marketing brochure and poster set, which she ships to the client. She spends \$28 on shipping supplies and \$12 on postage. She deposits a \$400 check from a client on her way back to the office.
- E. The end-of-month rent of \$600 for office space is paid from the checking account.